FIGURE 8.5 Term structure model performance.

Limitations of Term Structure Models

And why, you ask, doesn't everyone trade this way? Or at the very least, why not all the big players with an excess of propeller heads to research strategies? The latter part is easier to answer. We've mentioned earlier that most trading activity takes place in a single contract at any given time. One contract, for instance, the October 2022 contract, might be the main contract. At some point, often at quite predictable patterns, trading activity migrates over the course of just a day or two, from one contract to the next, and then there will be a new king of the hill.

Almost all futures traders stay with the main contract and roll to the net when everyone else does so. That's where you'll find the most liquidity, and it will be cheaper and easier to trade. It's true for small and big traders alike, and that's the normal way of dealing with the issue of limited futures life span. But as a smaller trader, and in this context small means that you're trading less than US$50 million, you could get away with doing some trading in less liquid months. You just need to be really careful with your executions. The spreads can be wide and market orders are not advisable.

If you manage billions of dollars and trade at high leverage, as most futures houses do, it gets very difficult to trade these less liquid months. That's why there is a small guy advantage in the term structures business. The degree of liquidity problem you may face varies from market to market, and of course from delivery to delivery. You need to be very careful when designing these kinds of models, and even more careful in executing them.